

In the early years of the 18th century, there had been some notably imaginative stock promotions or proposals—a company to build and market a typewriter, an enterprise considerably ahead of its time; a project for a subtle machine gun that could fire both round and square bullets, depending on whether the enemy was a Christian or a Turk; a project for a mechanical piano. “I can measure the motions of bodies,” Sir Isaac Newton once observed, “but I cannot measure human folly.” Nor could he do so as regards his own. He was to lose £20,000, now a million dollars and much more, in the speculative orgy that was to come.

The South Sea Company was born in 1711 at the instigation or, perhaps more precisely, as the inspiration of Robert Harley, Earl of Oxford, who was joined in the early years of the enterprise by one John Blunt, a scrivener by profession accomplished in the copying of legal documents and not less in learning of their contents.

Its origins closely resembled those of the Banque Royale and the Mississippi Company; it similarly provided a seeming and undeniably welcome solution to the problem of floating and pressing government debt that, as in France, had been incurred in previous years in the War of the Spanish Succession. In return for its charter, the South Sea Company took over and consolidated this diverse government debt. It was paid interest by the government at the rate of 6 percent and in return received the right to issue stock and to have “the sole trade and traffick, from 1 August 1711, into unto and from the Kingdoms, Lands etc. of America, on the east side from the river Aranoca, to the southernmost part of the Terra del Fuego....” Added was all trade on the western side of the Americas and “into unto and from all countries in the same limits, reputed to belong to the Crown of Spain, or which shall hereafter be discovered.”